

Fearnleys Tanker Market Wrap-up Mar 2025

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Risks skew to the upside - what's going to give?

Summary and outlook

Rates have strengthened for all segments over the last month, with Suezmax, Aframax and LR2 gaining the most. With crude oil production and refinery runs slated to pick up in coming months there should be further upside for rates too, although with the constantly changing newsflow and geopolitical picture there are plenty of potential scenarios. There are a few key bullish and bearish factors which may influence the trajectory for this year, skewed to the upside:

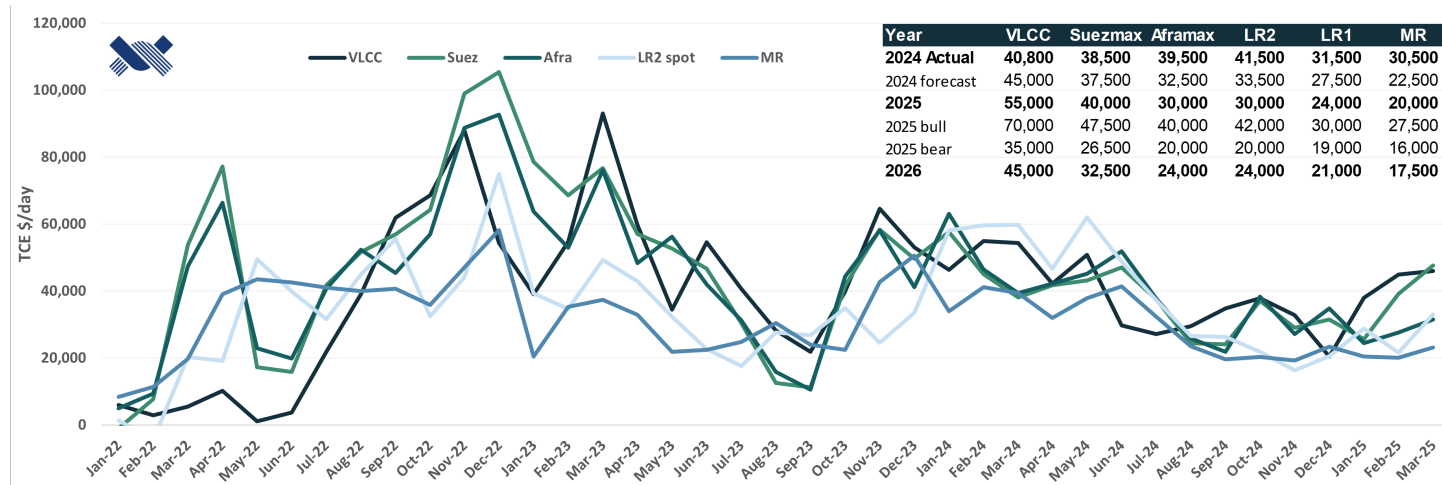
Bull factors:

- Sanctions driving a need to replenish the shadow markets and/or replace flows with compliant barrels
- Higher crude oil production in the Americas, most of which needs to be shipped by sea
- Lower global oil inventories which may need to be replenished
- Rebounding refinery margins which suggests relatively healthy oil demand
- Limited fleet growth, especially for crude tankers

Bear factors:

- Trade wars may negatively impact demand
- Conflict resolution and/or easing of sanctions
- Charterers accepting older vessels
- Charterers controlling more vessels than before

Rates and forecast



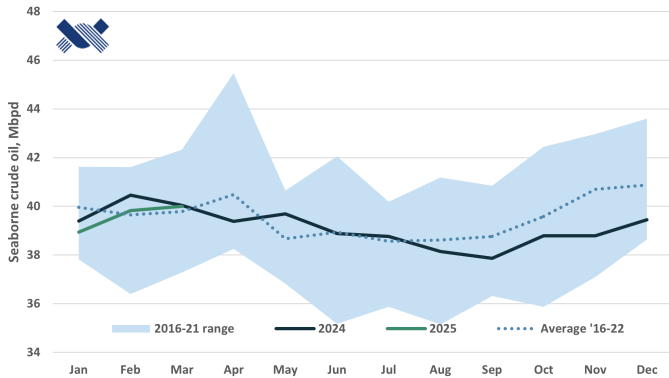
Source: Fearnleys, Baltic Exchange

Crude tanker flows excluding Iranian oil have in March to date recovered and is slightly above the same month last year. Products lag a bit, but is still among the highest historically for this time of the year. Both are expected to rise in coming months with higher crude production in both hemispheres, though mostly in the West as the OPEC+ cut reversal is relatively small, and with refineries gradually coming out of the maintenance period.

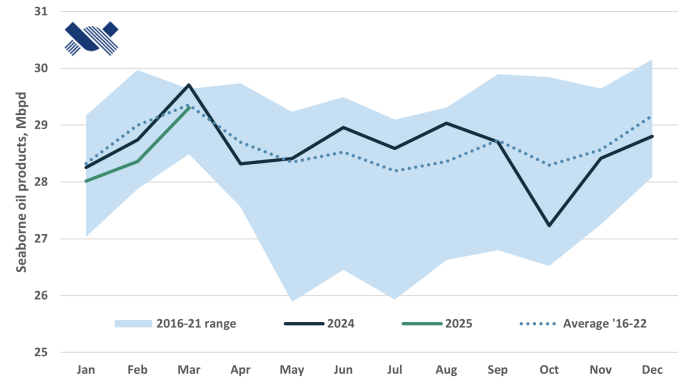
Contrary to our expectations, Suez- and Aframax and to some extent product tankers again outperform VLCCs. Some of that may be explained by sentiment and psychology which appear to keep a lid on VLCC rates. There is also a factor of uncertainty, where the threat of tariffs and potential port fees for Chinese (built) ships in the U.S. have disincentivised charterers and traders to lock in freight ahead in time, hence the VLCC fixture count from the USG in April for instance, lags where it ought to be. We are now starting to see more USG exports materialise in Suez and Afra cargoes relative to the last couple of months again.

This comes at the same time as the Urals price has dropped well below the G7 price cap, which has lured more uncompromised tonnage into the Russia trade, absorbing vessel availability from the Suez- and Aframax market. CPC exports have also been very strong, and a larger than normal portion is headed East on Suezmaxes, further stretching the fleet.

Seaborne crude flow (ex. Iran)



Seaborne products flow (ex. Iran)

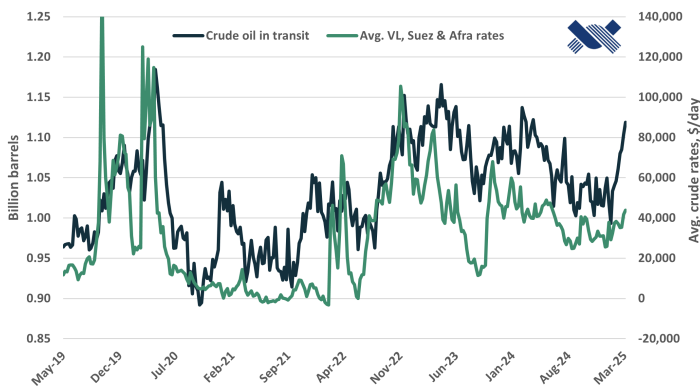


Source: Vortexa, Fearnleys

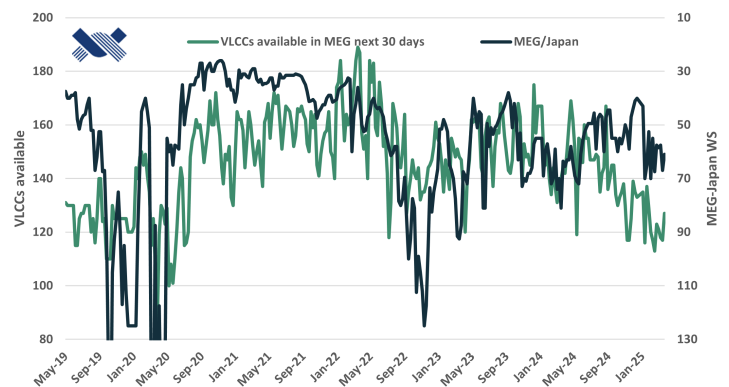
Arguably, rates lag fundamentals, where oil in transit is among the very highest in the past few years, surpassed only by Covid and the immediate aftermath of the Russia-Ukraine conflict and related sanctions. At the same time, vessel availability is and has for a few weeks and months been among the lowest over the past few years. At previous times when oil in transit has been this high and/or vessel availability has been this low, rates have been substantially higher than now, especially for VLCCs.

What is going to give?

Crude oil in transit vs. crude tanker rates



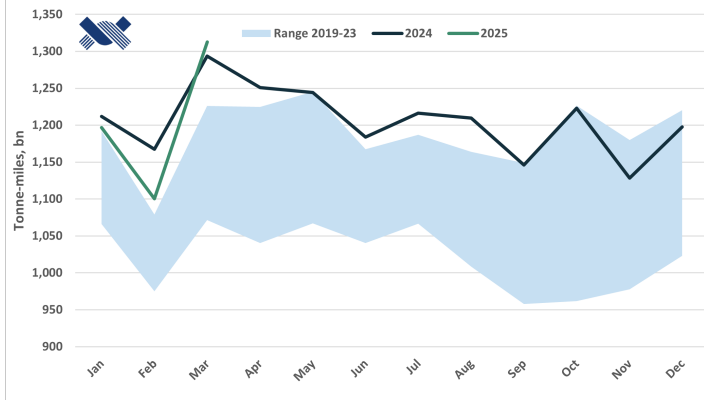
VLCCs available in MEG next 30 days vs. MEG-Japan rates



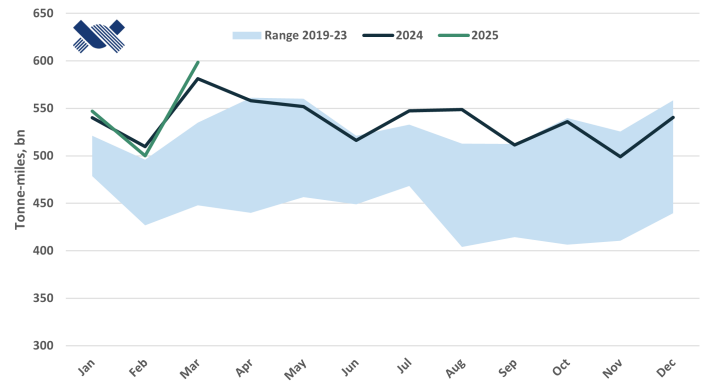
Source: Fearnleys, Vortexa, Bloomberg

There is not a lack of demand, at least. Preliminary tonne-mile figures for March, excluding OFAC listed vessels, hit a new all-time high, both for the total tanker market, and for VLCCs. The gains are predominantly driven by crude tankers, as product tanker tonne miles slightly lag last year so far.

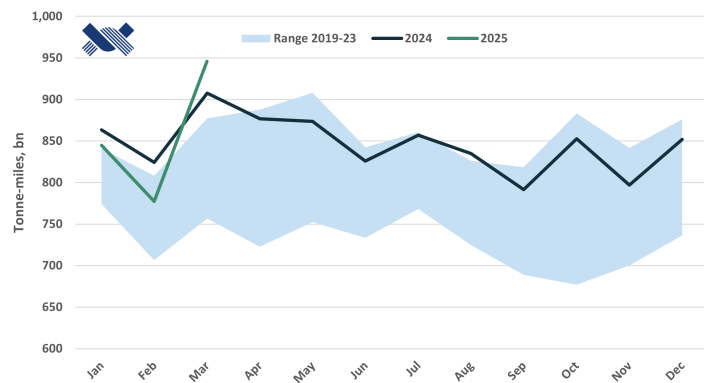
Total tanker tonne-miles, excl. OFAC listed vessels



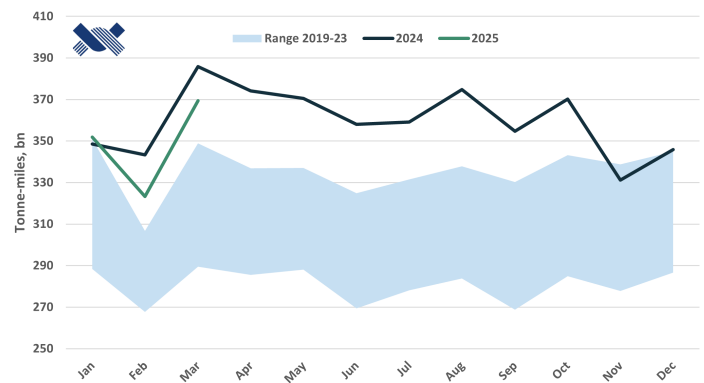
VLCC tonne-miles, excl. OFAC listed vessels



Crude tanker tonne-miles, excl. OFAC listed vessels



Product tanker tonne-miles, excl. OFAC listed vessels



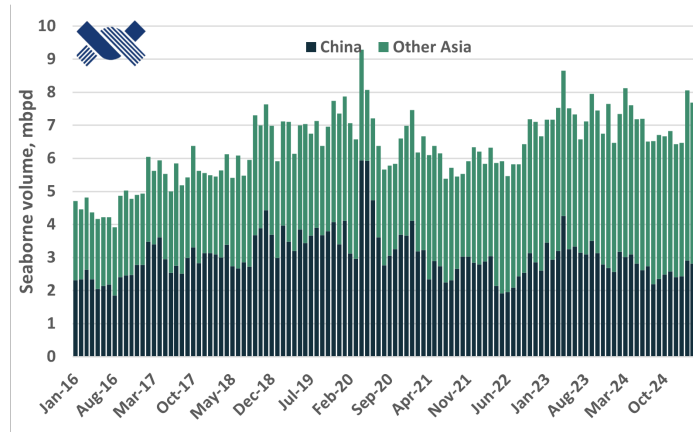
Source: Vortexa

What lacked through most of H2'24 was Atlantic-East movement. So far this year that has rebounded as (some) Eastern buyers replace (some) flows from Iran and Russia. There should be more to come too, on higher crude oil production from the Americas predominantly, but also some other Atlantic sources. According to the EIA, Q2 should see more than 0.5 mbpd q/q production growth (0.6 mbpd y/y) from the Americas, led by the U.S. and Brazil, with another 0.7 mbpd hike in Q3 (0.9 mbpd y/y).

The U.S. growth figure is questionable considering low activity and real-time indications suggesting that YTD development has been flat, and lower than energy agencies have expected. The latest Dallas Fed survey suggests the average price needed to profitably drill new shale wells is \$65/bbl - just about where the forward price for next year is. Still, even adjusting for that downside risk there should be around 1 mbpd of additional Atlantic crude which is likely to be shipped by sea over the next six months, greatly contributing to tanker tonne-miles.

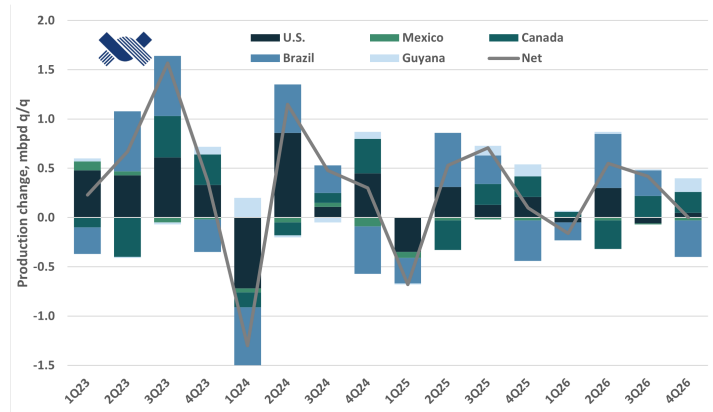
Three out of four FPSOs scheduled to start up in Brazil this year (total capacity of 800 kbpd) are now on field, and one of them has started production. The 250 kbpd FPSO destined for Guyana has recently sailed from Singapore. Within about half a year most of these should be operational.

Atlantic-East crude oil flow



Source: Vortexa, EIA

Crude oil production change by quarter

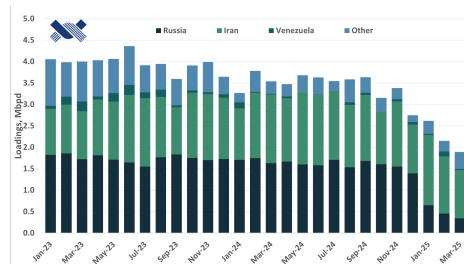


Partly driving the Suezmax outperformance recently has been the prices for Russian crude oil dropping well below the G7 price cap after sanctions have hindered the ability to lift effectively on the shadow fleet. Loadings from Russia on OFAC listed vessels have dropped by nearly 1.3 mbpd vs. the 2024 average, and most have been replaced by compliant tonnage. By now, 10.6% of the tanker fleet has been sanctioned by OFAC, 13.2% of the crude fleet and 4.3% of the product fleet.

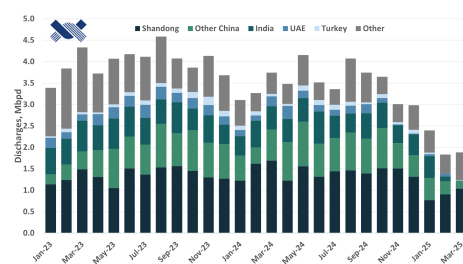
Loadings on OFAC listed vessels from Iran have dropped by 'only' 350 kbpd, and discharges into China have risen this month vs. the January low, which shows there are still ways around sanctions and will continue to be. The latest U.S. 'threat' of a 25% tariff on countries which buy oil from Venezuela may be a veiled threat, also in regards to Iran. That adds to pressure from the sanctioning of a Chinese teapot refinery (Luqing) and an import/storage terminal (Huaying). Still, Iranian exports are 'only' down by about 200 kbpd YTD vs. the same period last year, and Shandong keeps importing also on sanctioned tankers despite statements suggesting otherwise...

There are, however, reports of Iranian, Russian and Venezuelan cargoes being denied entry into China and India, and according to Argus Chinese state-owned firms fear that the upped sanctions push will drive independent refiners to again turn to the MEG and Atlantic basin for spot cargoes to replace sanctioned barrels, although there are few signs of this just yet. There has been a turn to more Russian crude, albeit more on compliant tonnage, but that is in competition with other Chinese buyers. Delivered price in China for both Iranian light and ESPO are now among the highest in years, hence compliant grades look increasingly competitive. As this happens at the same time as OPEC will start to unwind production cuts, that may again start to support the West-East arb.

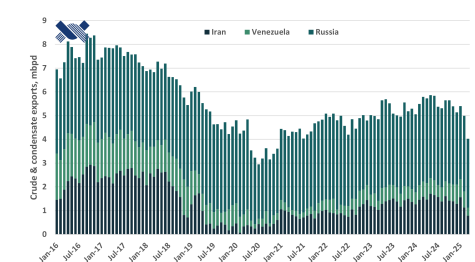
Loadings on OFAC listed tankers



Discharges from OFAC listed tankers



Shadow flows



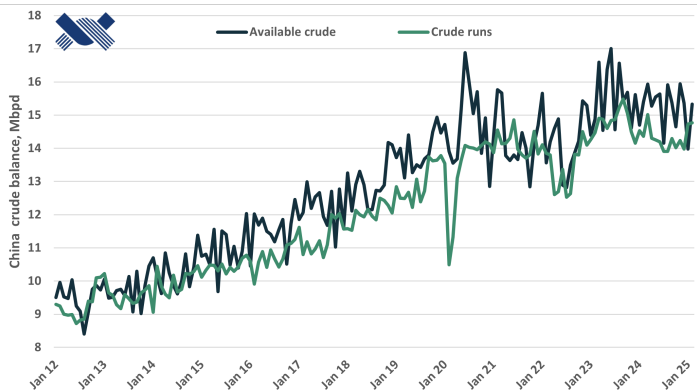
Source: Vortexa

Hence, we may see another boost for long-haul tanker demand, akin to the one we say in December and January amid the big sanction push then.

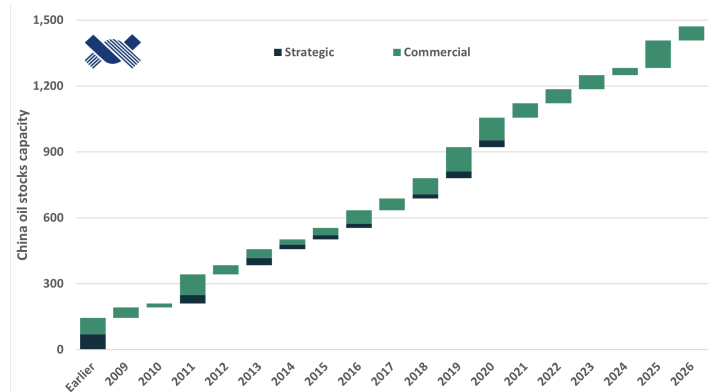
Chinese crude oil imports have declined YTD, which is driven by a drop in imports of sanctioned crudes. Imports excluding Iranian, Russian and Venezuelan crude have risen, and should rise further this and next month too as long-haul cargoes arrive. Still, crude oil inventories have drawn YTD, as refinery runs hit all-time highs for the January-February period.

An x-factor this year will be whether new storage capacity will be filled. 125 mb of new capacity is planned this year, up from 33 mb last year and 65 mb in 2023. This may not happen if the oil price curves remain backwardated, and will be a function of price. Hence, price and structure will be key to watch.

China available crude oil vs. refinery runs



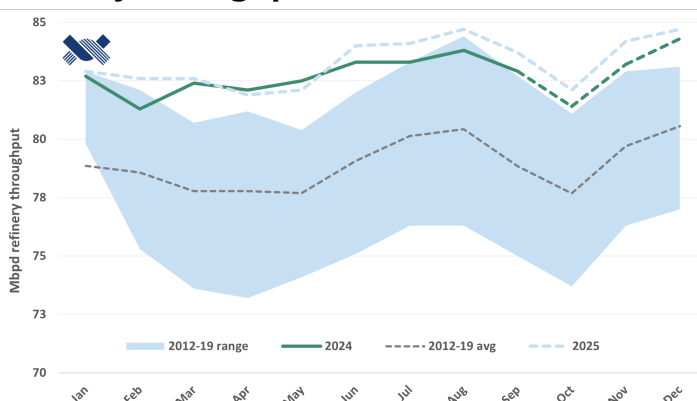
Chinese crude oil storage capacity



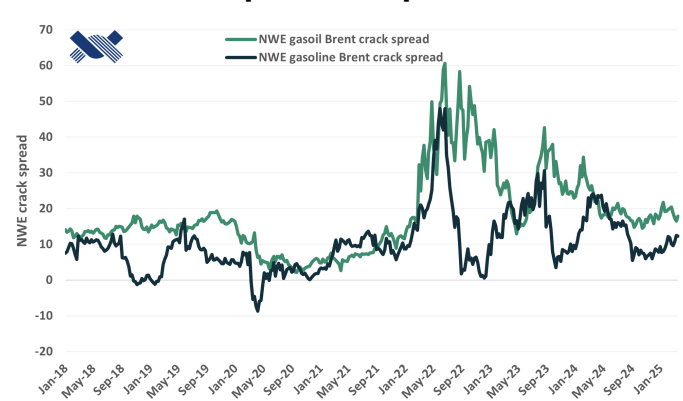
Source: Argus

With refinery margins largely strengthening YTD and oil demand expectations having been revised slightly higher, refinery run expectations have also been revised slightly higher. Going into summer season there may therefore be slightly better product tanker demand than expected before, and we have already started to see some more supporting arb. and rate developments at times in recent weeks. The counter to this argument is the tariff threat which ultimately is likely to weigh on demand if followed through, which is the main downside risk for the market this year, other than conflict resolution which does not appear imminent...

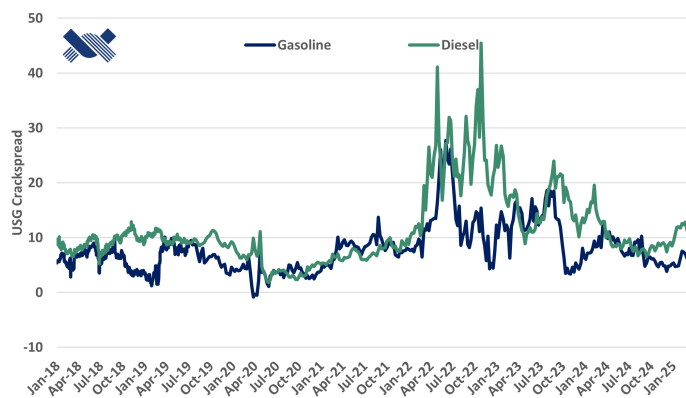
Refinery throughput season



Northwest Europe crack spreads

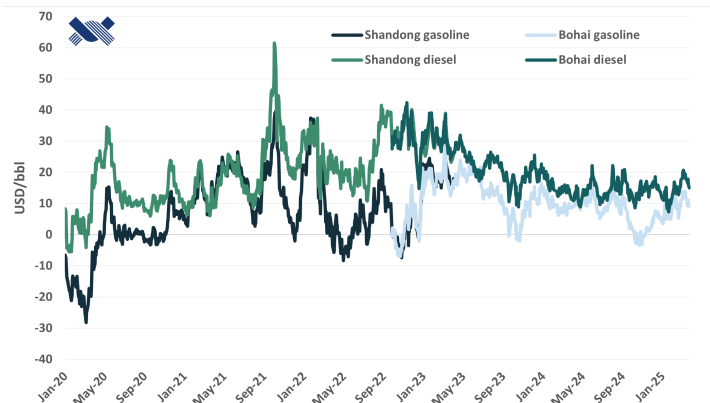


U.S. crack spreads



Source: IEA, Bloomberg, EIA, Argus

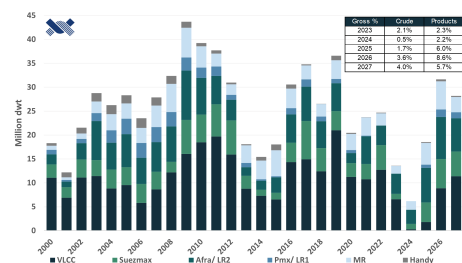
China crack spreads



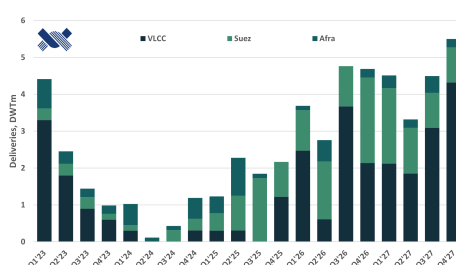
Fleet growth YTD has been limited, only 0.3% as of the beginning of March. There is more to come, but mostly in the second half of the year, and mostly for product tankers. Total scheduled gross deliveries this year equal 2.9% of the fleet, which is not scary as demand may grow by as much or more, overall. Net fleet growth should end lower, with some phase-out both in the form of scrapping and some lower utilisation for older vessels and the shadow fleet. Crude tanker fleet growth may effectively end up at zero or less also this year, but for products the picture is a bit more challenging, especially in the second half of the year which makes for a gradually softening rate outlook.

The next two years scheduled gross fleet growth rises to about 5%, which likely means a gradually softer outlook for rates, unless oil demand and supply growth surprise to the upside.

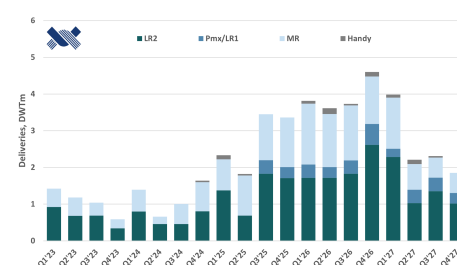
Deliveries by segment by year



Deliveries by quarter, crude tankers



Deliveries by quarter, product tankers



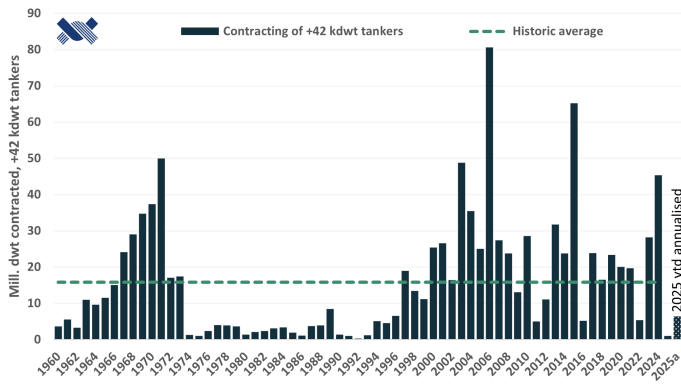
Source: Fearnleys

However, ordering has come to a near complete stop, with only 1m dwt confirmed ordered so far. Although there is some more to come, the current sentiment suggests the total tally for this year may end up significantly below the 28 and 45m dwt ordered the last two years, and potentially also well below the historical average of nearly 16m dwt.

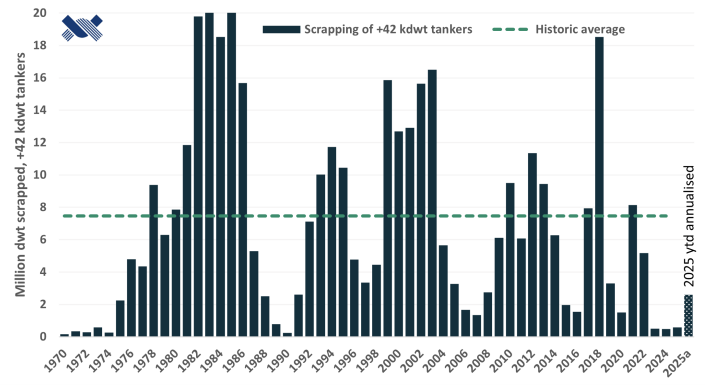
Meanwhile, scrapping has picked up. Although it is not a lot, the 0.6m dwt that has been scrapped so far already surpasses both of last years, and there are reports of quite a few more ships sold for scrap.



Ordering by year, +42k dwt



Scrapping by year, +42k dwt



Source: Fearnleys



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